

BlueRiver Consulting, LLC

BOARD MEMORANDUM

To: Board of Directors
From: Jennifer Martinez, VP Finance
Date: January 10, 2026
Re: Q4 2025 financial summary and Q1 2026 outlook

Revenue and earnings

Q4 2025 revenue came in at approximately \$340,000, led by our Consulting and Audit Services lines, with steady contribution from Accounting Services. Net income for the quarter was roughly \$72,000. The momentum in Consulting (Frontier Tech, Liberty Insurance) and Audit (Crest Healthcare, NorthStar Energy) carried the quarter.

Receivables

Collections slowed late in the quarter. A handful of accounts have moved into older aging buckets — NorthStar Energy and Liberty Insurance are now beyond 60 days, and a few smaller accounts (Titan Wholesale, KLM Restaurants) remain unresolved. We will need a formal year-end review of doubtful accounts.

Cash and vendors

Cash tightened heading into the new year as several large vendor invoices came due together. We expect to actively manage vendor payment timing through Q1, prioritizing critical suppliers while deferring where terms allow.

Payroll and compliance

Headcount and payroll were stable. One process note: our payroll tax deposit workflow has been manual, and we should tighten the deposit calendar in Q1 to avoid any timing issues with federal deposits.

Q1 2026 outlook

We enter Q1 with a healthy pipeline. Tax Preparation will see its usual seasonal lift. Priorities for the quarter: resolve aged receivables, stabilize cash, and firm up payroll-deposit timing.